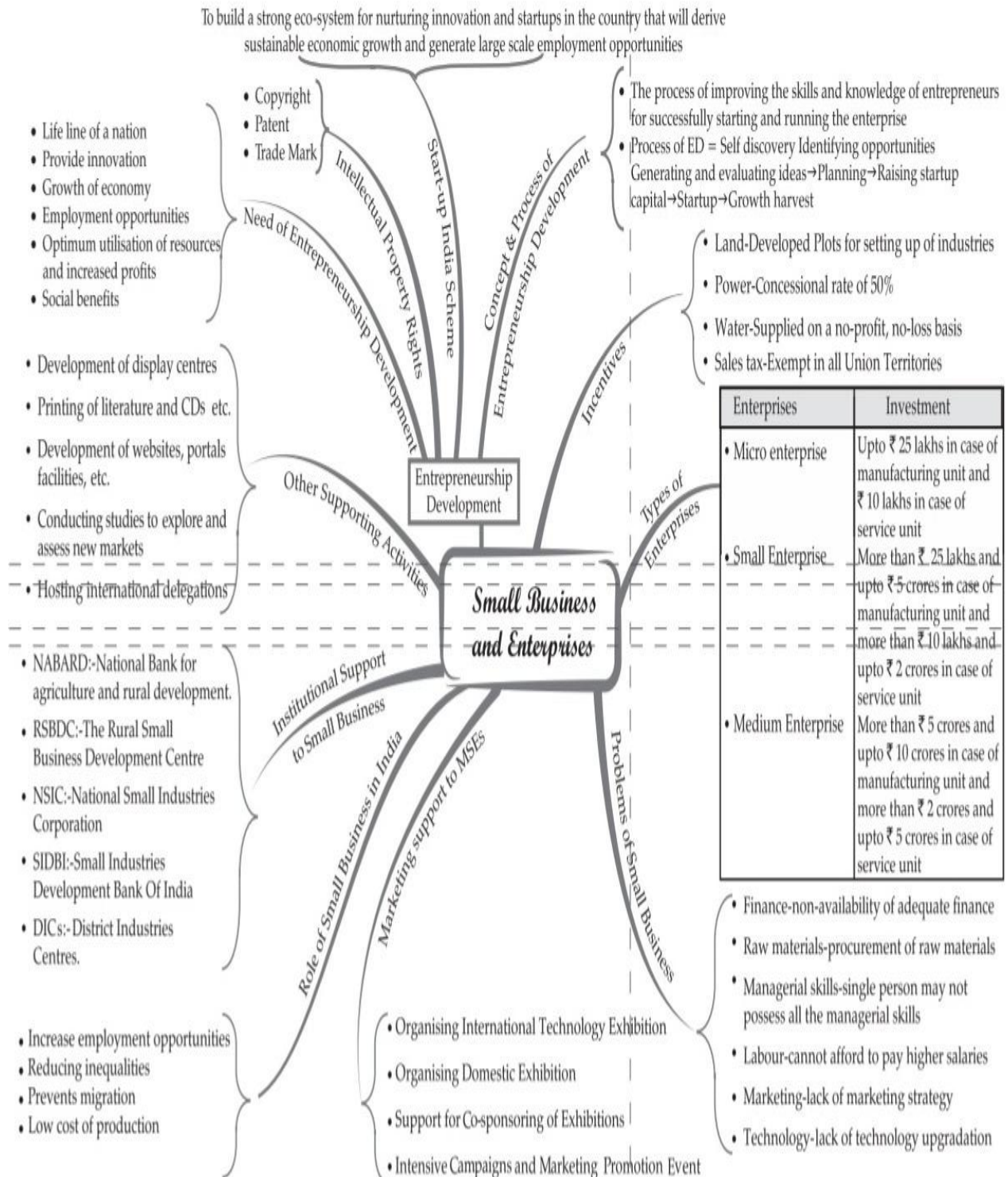


CH - 08: SMALL BUSINESS AND ENTERPRISES

(MIND MAP)



LEARNING OBJECTIVES:

- *Meaning & Features of Entrepreneurship Development.*
- *Need of Entrepreneurship Development.*
- *Process of Entrepreneurship Development.*
- *Concept of Start-up India Scheme.*
- *Ways to fund Start-up.*
- *Concept of Intellectual Property Rights.*
- *Definition of Small Scale Enterprises as per MSMED Act 2006.*
- *Role of Small Business in India.*
- *Government schemes & agencies for Small Scale Industries.*

Entrepreneurship Development:

Entrepreneurship is the process of setting up a business which is owned, managed and controlled by a person who takes the initiative to take the risk, as well as add creativity and innovation to start an enterprise; this person is known as an entrepreneur.

Characteristics of Entrepreneurship:

- (a) **Life line of a nation:** Entrepreneurship is a yardstick to measure the development of any country as no country can prosper and grow without development of entrepreneurship.
- (b) **Provide Innovation:** Entrepreneurship involves creating something new according to the changing business environment or may be for reducing cost and enhancing profits.
- (c) **Growth of economy:** The Entrepreneurs adapt to changes as changes take place in the environment. The changes adopted by entrepreneurs in enterprises even bring changes in the society and economy.
- (d) **Increased Profits:** An entrepreneur always tries to minimise cost. He always tries to get optimum utilisation of resources.
- (e) **Employment opportunities:** Entrepreneur not only provides the scope for self employment but also offers employment to large number of people as in the case of successful enterprises.
- (f) **Social benefits:** Entrepreneur s always try to adopt latest technology and raise the standard of living by providing good quality products and services and services at lowest cost.

Process of Entrepreneurship:

1. Self-discovery.
2. Identifying opportunities.
3. Generating and evaluating ideas.
4. Planning.
5. Raising start-up capital
6. Start-up.
7. Growth.
8. Harvest.

Start-up India Scheme:

Startup India is an initiative of Government of India. The campaign was first announced by Prime Minister. Mr. Narendra Modi in his speech on 15th August, 2015.

The scheme aims to:

- Encouraging people towards entrepreneurship.
- Encourages more dynamic startups.

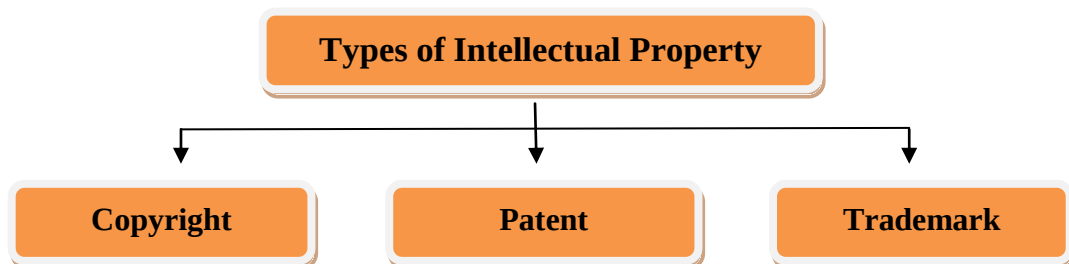
Intellectual Property Rights:

- Intellectual Property Rights refers to the legal rights regarding intellectual property.
- Intellectual Property refers to the creation of the human mind, like inventions, artistic works, etc.
- The intellectual property is intangible.
- Trade secret is an intellectual property right which refers to confidential information that provides a competitive edge to the company holding it.
- Intellectual property is bifurcated into two main categories:
 - **Industrial property:** It includes patents, trademarks, industrial designs and geographical indications,
 - **Copyrights:** It includes artistic, literary works such as poems, books, plays, films, drawings, photographs etc.
- IP's which are recognized in India are:
 - Copyright,
 - Patent,
 - Trademark,
 - Geographical Indication,
 - Design,
 - Plant Variety,
 - Semi-conductor Integrated Circuit Layout Design.

Why is IPR Important for Entrepreneurs?

- IPR are important for entrepreneurs to promote and protect their inventions and creations.
- Creators, authors, inventors, etc., will get benefited for their hard work only if their work is distributed or shared to the public with their permissions.
- IPR protects the work from being copied by others and can also defend in court for the rights to use, make or sell it.

Types of Intellectual Property:



- **Copyright:** Copyright is the right of the creator which prohibits use of content by unauthorized persons. The registration of content is optional but it is necessary to use exclusive rights in case of infringement.

- **Patent:** Patents protect the making, selling and importing of scientific inventions. A patent is an exclusive right granted by the government which provides the 'right to exclude' for 20 years.
- **Trademark:** It helps in differentiating the products of different companies like, label, logo, etc. Trademarks may be categorised as conventional and non conventional trademarks.
 - **Conventional trademark:** Includes words, label logo shape of good packaging etc.
 - **Non conventional trademark:** Includes mark which got recognition over the course of time.

MSMED ACT:-

Micro, Small and Medium Enterprises Development Act, 2006 deals with issues and provides rules and regulations for micro, small and medium enterprises in manufacturing and service sector.

Investment and Turnover limits under MSMEs:

As against the earlier bifurcation of MSMEs into manufacturing and service sector, both are treated as one and the same & are defined under a common metric. The investment & turnover limits are:

Type of Units	Investment in Plant and Machinery	Turnover
Micro Enterprises	1 Crore	Does not exceed 5 crore.
Small Enterprises	10 Crore	Does not exceed 50 crore.
Medium Enterprises	50 Crore	Does not exceed 250 crore.
% share of MSMEs in		
Micro Enterprises	99.4%	
Small Enterprises	0.52%	
Medium Enterprises	0.1%	

● **Village Industries:**

The Industries located in rural areas with investment in fixed assets as per the rules of central government.

● **Cottage Industries:**

Traditional industries run normally by family with small capital investment

Role of Small Business in Socio, Economic Development of India:

- 1. Output Generation:** The share of product from SSI is 45% of total export from India. So, it earns valuable foreign exchange and solves the problem of balance of payment.
- 2. Employment Generation:** Small scale Industries are second largest employers of human resources after Agriculture. It has 95% of the industrial unit in the country. These enterprises are labour intensive and labour is available in abundant amount in rural areas of India.
- 3. Balanced Regional Development:** SSI can be set anywhere in the country. They use local resources, less capital and simple technology.
- 4. Supply of Enormous Variety of product:** Small scale Industries produce an enormous variety of goods e.g. readymade garments, stationery, soaps, Leather's goods Plastic and rubber goods.
- 5. Provide Opportunity for Entrepreneurship:** SSI provides opportunity for young men and women to start their own business.
- 6. Advantage of Low cost of production:** SSI also enjoys the advantage of low cost of production because they used local resources in their product.

Role of Small Business in Rural India:-

- 1. Provides Employment in Rural Areas:** Cottage and rural industries provide employment opportunities in the rural areas as these are labour oriented enterprises. In Indian rural areas ample labour is available.
- 2. Improve Economic Condition:** Small business provides multiple source of income to the rural households. SSI improves economic conditions & standard of living of people living in those areas.
- 3. Prevent migration:** Development of rural and village industries can also prevent migration of the rural population to urban areas in search of employment.
- 4. Utilisation of Local Resources:** SSI use local resources e.g. coir, wood and other products.
- 5. Equitable distribution of rational Income:** Small Scale Industries and cottage Industries ensure equitable distribution of national income. This helps to reduce the gap between rich and the poor in the country.
- 6. Balanced Regional development** – These enterprises are often dependent on local source of production. This way, industries do not just limit themselves to a particular place but diversify. This helps in balanced regional development.

Problems Associated with MSMEs:-

- (a) Finance:** There is limited finance availability with these enterprises that makes the day to day working difficult. Also raising finance from banks is a challenge because of these enterprises' poor credit worthiness.
- (b) Raw materials:** Due to unavailability of certain raw materials, these enterprises have to adjust and compromise either in terms of poor quality raw material, or high price raw material. Both the situations add to the problems of such enterprises.
- (c) Managerial skills:** Business run by a single person or family, which lacks managerial skills, technical skills and entrepreneurial skills. Also due to no education, things become even more difficult. Hence neither they are capable to manage the enterprises on own, nor they can hire people for such work due to shortage of financial resources.
- (d) Labour:** Production with the help of unskilled or semi skilled workers.
- (e) Marketing:** It is difficult for these enterprises to maintain direct contact with customers, hence they have to depend on middlemen, who in return pay less prices or delay in the payment, thus exploiting them to no limits.
- (e) Quality:** Due to traditional methods of production, these enterprises struggle to maintain standardized quality.
- (f) Technology:** Use of outdated and obsolete technology creates issues in terms of high cost and low quality.
- (g) Global Competition:** They have to face competition with large scale industries and multinational companies.
- (h) Capacity utilization:** Under utilization of resources takes place due to lack of managerial skills and sufficient demand to make the full use of production capacity of the machines.

Government Assistance to Small Industries and Small Business Units:

(A) Institutional Support:

I. National Small Industries Corporation (NSIC):-

This was set up in 1955 to promote, aid and foster the growth of small scale units in India. Main constraint faced by entrepreneurs is shortage of funds to purchase machinery and equipment. Non availability of finance, deprives many new entrepreneurs from availing opportunities. NSIC was established to cater to this need of entrepreneur.

Main functions of NSIC:

- (a) It supplies imported machines & raw materials to small industries on easy hire-purchase schemes.
- (b) It exports the products of small units.
- (c) It provides technology to Small Scale Industries.
- (d) Helps in up gradation to technology.
- (e) Provides in up gradation of technology
- (f) Provides various equipment on lease basis.
- (g) Undertakes construction of industrial estates.

II. District Industries Center (DIC):-

The concept of DIC came during 1977, when Government of India announced the new Industrial policy on 23rd Dec, 1977. The main objective of DICs is to make available all necessary services at one place. The finance for setting up DICs in a state are contributed equally by particular state Govt. and Central Government.

Functions of District Industries Centre:

- (a) Act as the focal point of industrialization of the district
- (b) Identifies projects for setting up of SSI units.
- (c) Issues permanent registration certificate to SSI units.
- (d) Provides marketing support to SSI units
- (e) Act as a link between the entrepreneurs and the lead bank of district.
- (f) Helps businessman in obtaining license from Electricity board, water supply board etc.

Govt. Incentives to hilly backward and Rural Areas:-

- (a) **Power:** Some states supply power at a concessional rate of 50%.
- (b) **Tax holidays:** Exemption from payment of tax for 5 years.
- (c) **Land & Water:** Availability of land at concessional rate. Water is supplied on no profit no loss basis.
- (d) **Octroi:** Most of the states have abolished Octroi.
- (e) **Protective Measures:** The government reserved 800 items for exclusive production by the small scale Industries and give priority in allocation of raw materials and machines.
- (f) **Marketing Assistance:** Government tries to solve their marketing problem by improving information and in order to provide guarantee for sale of goods.
- (g) **Finance:** Subsidy of 10-15% for building capital asset. Loans are offering data concessional rates.

(h) Sales Tax: In all Union Territories, small industries are exempted from sales tax while some states give exemption of 5 years.

USEFUL LINKS:

https://diksha.gov.in/cbse/play/collection/do_31310347535117516811487?contentType=Text Book

https://diksha.gov.in/play/content/do_3131138132047708161246?contentType=PracticeQuestionSet

https://diksha.gov.in/play/content/do_313113813349638144150?contentType=PracticeQuestionSet



SELF ASSESSMENT:

1. In which year was the MSMED Act passed?
2. What is the micro enterprise?
3. MSMED & Entrepreneurship are connected. Do you agree? Give two reasons.
4. Innovation is integral to MSMED. Discuss giving reasons to your answer.
5. State any three major problems faced by MSMEs?
6. Government of developed countries encourage many people to start small scale industries in rural and under developed areas, so that these areas can be developed and people of these areas can get employment and their economic conditions can improve.
 - (a) State the benefit of SSI referred in above case.
 - (b) State any five benefits of SSI.

-----END OF CHAPTER-----